

SIGA pitch deck

No file access was granted for the repo, so here is the deck in full. Save it wherever the pitch decks live.

PITCH — SIGA — VERDICT

ADJUDICATED 2026-08-21 — REJECT / TRAP CONFIRMED — named kill; four tripwires armed; the Hikma vector is the one live option

What we believe

SIGA sells one drug — tecovirimat (TPOXX), oral and IV — and for practical purposes it has sold it to one customer, the U.S. government stockpile, under one contract signed in 2018 (the “19C” contract, vehicle 75A50118C00019).

We believe that contract is finished as a source of product revenue. Not slowing, not lumpy — finished. The company’s own management said so on the Q2 call: this quarter’s IV delivery “marks the fulfillment of the final product order under our 19C contract.” The filing agrees with the transcript. Total remaining work of any kind under the contract is \$24.9 million, spread over up to three years, and \$5.6 million of unexercised options that management says it does not expect anyone to require.

We believe the case that drew us to the name — that a \$179.3 million gap between what the government *obligated* on the contract and what it has *paid out* represents future deliveries owed — is wrong. That gap is a payment-reporting lag against revenue SIGA already booked and already collected.

We believe the second leg of the bull case — that stockpiled TPOXX is aging toward expiry and forces a replenishment order in the 2025–2029 window — is not merely unproven but backwards. The FDA has twice *extended* TPOXX dating, stockpile lots carry no printed expiry, and the GAO says stockpile quantity gaps persist because of budget constraints. Replenishment happens when Congress appropriates, not when a shelf life runs out.

We believe there is exactly one thing here that could still be worth money, and it is not in any model: a March 2026 exclusive license and distribution agreement with Hikma MENA FZE, under which SIGA is the sole manufacturer and supplier for the Middle East and North Africa. SIGA delivered \$13.0 million of oral TPOXX to two sovereign buyers in the first half. No dollar value, no minimum purchase, and no backlog from Hikma has ever been disclosed. It is currently worth zero on paper. That is the option.

We do not own the stock and we are not buying it.

What the market believes

The market believes something *more* optimistic than we do, which is unusual for a stock down 69% from its 52-week high and sitting 4.9% off its low.

At \$2.97 the whole company is worth \$213 million, against \$117.6 million of cash and essentially no debt — call it \$96–99 million for the operating business. That price says the annuity is dead. Fine; so do we.

But the published full-year revenue consensus is \$66.31 million. The first half already delivered \$47.24 million, which means the street is modeling \$19.1 million in the second half. When you add up what SIGA actually has under contract for the second half — research services plus a manufacturing tech-transfer line — you get roughly \$8–9 million. The remaining ~\$10 million is international orders that do not exist as backlog anywhere in the filing.

So there *is* a gap between us and the street. It runs the wrong way for a buyer. We are more bearish on the next two quarters than consensus is, and consensus is thin — one to two analysts, some of it issuer-paid research, which is a degraded anchor to lean on in either direction.

Why we might have edge

Three honest candidates:

1. **We read the contract note, and most people read the outlay feed.** USAspending shows \$626.5M obligated against \$447.2M paid. That \$179.3M looks like backlog to anyone scanning a government-contract screen. The accounting note that kills it — “remaining performance obligations... \$24.9 million,” excluding unexercised options, with no one-year reporting shortcut available to hide product orders behind — is one paragraph deep in a 10-Q. We fetched the primary document: [SIGA Q2 2026 10-Q, SEC EDGAR](#).
2. **We cross-checked with receivables.** If \$179 million of product were delivered-but-unpaid or owed-and-shipping, accounts receivable would be enormous. They are \$7,170,229. That one number makes the backlog reading arithmetically impossible, and it takes ten seconds if you think to look.
3. **We checked the direction of the shelf-life mechanism instead of assuming it.** The replenishment-forcing story sounds mechanical and inevitable. It inverts on contact with the FDA record.

The general lesson is now in our knowledge graph as two reusable detectors — one for obligated-minus-outlaid gaps masquerading as backlog, one for shelf-life-extension programs being read as forcing functions when they are deferral functions.

Why it might be priced in

Mostly, it is. This is the honest half of the deck.

- The stock is down 69% and still falling. The market has already priced the death of the government annuity. We are not early to that.

- The consensus already models a second-half collapse in earnings. Our differentiated view is that consensus is still ~\$10 million too high on revenue — that is a reason to *not own* it, not a reason to short it at a \$96 million enterprise value against \$117 million of cash.
- The remaining upside is a genuine binary: a successor multi-year government procurement contract. Management says it is actively engaged; it is stalled on HHS reorganization, the BARDA-to-stockpile transition, and open leadership positions. If it lands, a ~\$96 million enterprise value re-rates violently. We cannot date its absence any better than we can date its arrival, and neither can anyone else.
- The balance sheet is genuinely strong. Debt-free, \$117.6 million cash, \$10.4 million total liabilities, and — corrected below — the first half was *profitable and cash-generative*. This is not a melting ice cube in the usual sense.

Our position is not “this is a good short.” It is “we cannot verify that we are being paid fairly for the one risk that matters, because the thing we would need to date is undateable.” Under our own rules, an unanswerable data question is a kill, not a reason to buy a smaller amount.

What we checked ourselves

Including — deliberately — where our own analysts got it wrong. The adjudication overrules both benches where they conflict with it.

Claim	How checked	Found	Confirmed?
The \$179.3M obligated-vs-paid gap is dated future backlog	Fetches the Q2’26 10-Q contract note directly from SEC EDGAR	“Remaining performance obligations... \$24.9 million,” unexercised options explicitly excluded, no one-year reporting shortcut used. A 7.2x overstatement.	REFUTED — decisive
Same claim, second independent line	10-Q balance sheet	Accounts receivable \$7,170,229. If \$179M were owed or unpaid, this is arithmetically impossible.	REFUTED — decisive
Same claim, third and fourth lines	Q2 call transcript, diffed against the filing	CEO: the \$24M IV delivery was “the completion of an order received in 2025”; and, volunteered without prompting, “the fulfillment of the final product order under our 19C contract.”	REFUTED — decisive
Aging stockpile forces a 2025–2029 reorder	FDA smallpox countermeasure record; GAO-23-106210	FDA extended TPOXX IV dating 24→42 months (2023) and 48→60 months (2024); stockpile-supplied TPOXX carries no printed expiry; GAO attributes stockpile gaps to budget constraints. The mechanism defers reorders; it does not force them.	REFUTED, and inverted
The specific replenishment batch table (day-level expiries, 1.62M courses,	Searched for any primary anchor	None exists. This was fabricated precision produced by our own upstream agent (antigravity). Third instance of that pattern; first time the invented part <i>reversed direction</i> under	UNSOURCED — our error

Claim	How checked	Found	Confirmed?
\$350/course, 5.00x coverage)		verification. Everything else in that agent's work — the reframe, the checkable numbers, the procurement-watch infrastructure — held up.	
The 19C vehicle has usable ordering capacity left	10-Q contract note	Ceiling obligated in full; \$5.6M of options remain, for supportive activities management “does not expect to require.”	CONFIRMED (bearish)
Red bench: Q2's \$41.0M breaks down as \$24M IV + \$13.0M international + \$3.1M R&D	Blue bench re-pulled the disaggregation table	Red was wrong on the arithmetic. Those are <i>six-month</i> figures, not quarterly, and the third line is \$2.8M tech-transfer with R&D a separate \$5.8M. Q1 was small enough (\$6.2M) that red's conclusion survived, but the numbers behind it did not.	Red's math REFUTED; conclusion survives
Red bench: “the cash floor is a melting reservoir funding operating losses”	Blue bench pulled the cash-flow statement; adjudication audited it against XBRL	Red was wrong. First half 2026 net income + \$9,009,184 ; operating cash flow + \$6,509,840 . The \$37M cash decline is the \$43.3M special dividend (\$0.60/share) — a return of capital, not a burn.	OVERTURNED — our error
Red bench: “we agree with the street, no divergence”	Blue bench audited red's own reasoning	Red contradicted itself — it treated consensus as authoritative in one finding and dismissed the same coverage as thin and issuer-sponsored two findings later. It cannot be both. Downgraded from decisive to supporting.	REDUCED — our error
Is there any divergence at all, then?	Blue recomputed: full-year consensus \$66.31M – first-half actual \$47.24M = implied 2H \$19.1M, vs contracted 2H base of ~\$8–9M	Yes — and it is bearish . ~\$10M of the street's second half is uncontracted international revenue. This strengthens the kill rather than weakening it.	CONFIRMED (bearish)
Is there a live revenue vector nobody modeled?	Blue read the same documents red had already read	Yes, and red missed it. March 2026 Hikma MENA exclusive license/distribution agreement, SIGA sole manufacturer; \$13.0M already delivered to two sovereign buyers in the first half; zero disclosed backlog, no dollar value, no minimum purchase. Red went for the easiest strong leg and skipped the hardest one. For the record, verbatim: <i>the desk is capable of missing a live vector inside a document it has already read.</i>	Our error — and the one live option

Claim	How checked	Found	Confirmed?
Is management dressing this up?	Both benches diffed the transcript against the filing on every load-bearing number	Cash, receivables, remaining obligations, net income, operating cash flow — all match across venues. No basis shifts. Management volunteered the single most damaging framing available to it (“final product order”). Absence of spin is a positive finding, and it is what makes this kill safe to act on.	CONFIRMED — in the issuer’s favor
Assorted unverified items we are not pretending are settled	—	Red’s specific FDA extension dates and the GAO quote were not independently re-fetched by blue (plausible, not confirmed). Red’s “options lapse Sept 2028, not 2029” sub-argument is unverified and immaterial — an exhausted vehicle cannot order on either date. Blue could not get a live broker price snapshot (permission denied) and accepted the \$2.97 from the pack. Red also cited a detector (albuquerque_permits) not in this pack’s atlas — harmless mis-transcription.	Disclosed, non-decisive

PROPOSED ENTRY BANDS

There are none. No entry at any price, in any size, today.

This is a named kill, not a shrug. The named reason: *the 19C contract’s final product order has been delivered, the ceiling is exhausted down to \$5.6 million of options management does not expect to use, total remaining performance obligations are \$24.9 million spread over three years, and the successor contract is undated.* Our house rule says a “no” needs a specific kill rather than vague caution — this is it, so the usual minimum-starter default does not apply.

We also considered whether a price could cure this and concluded it cannot. Net cash is \$1.64 per share (\$117.58M ÷ 71,844,042 shares); below that you would buy the operating business for less than nothing. We are deliberately **not** arming that as a buy level. The problem here is not that the price is too high — it is that we cannot verify fair value at all without knowing when (or whether) a successor contract lands, and both benches ruled that date unknowable from available evidence. A missing-data problem is a kill under our taxonomy, not a discount to be bought.

Reopen gates — the position reopens only on one of these, verbatim from the adjudication:

- New FPDS/USAspending vehicle or ceiling modification on SIGA (procurement_watch polls 75A50118C00019) → re-court
- Q3 remaining performance obligations materially above \$24.9M **with a stated product component** (print ~11/05) → re-court

- 8-K naming a Hikma/MENA or sovereign order **with a dollar figure** → re-court at STARTER via envelope
- **Bearish tripwire:** any further FDA tecovirimat dating-extension notice pushes the reorder window OUT — log it against any future bull case
- Primary ASPR/PHEMCE budget-justification line naming smallpox-antiviral replenishment quantity + fiscal year — the only document that would date the window

Sizing if a gate fires: starter only, through a ratified envelope, re-courted first. Nothing pre-authorized. Note the liquidity constraint when sizing: ~582,590 shares/day, ~\$1.73M/day of dollar volume, and we publish at a ceiling of 1% of that.

Immediate action required: pull the resting \$2.65 GTC buy order, unconditionally. It came from a foreign agent with no ratified envelope, and a resting bid with no catalyst behind it, sitting into a quarterly print, is an accidental short-volatility position we never chose to take.

Catalyst dates: - **2026-11-05** — Q3 print. Derived from a data vendor, **not confirmed** by any company release; the 10-Q and the Q2 call name no date. ~53 sessions out, so no pre-print positioning question arises. - **~March 2027** — management’s international delivery target, stated as “targeting hopefully... by March of the next year.” That is an aspiration, not a schedule, and we treat it as such. - **September 2028** — the outer bound of the 19C option period (disputed between benches; immaterial, since the ceiling is already exhausted).

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- filing watch: 8-K until 2027-02-16 (deck-provisional: 8-K naming a Hikma/MENA or sovereign order with a dollar figure -> re-court at STARTER via envelope)
- dated pack SIGA|2026-11-05: SIGA: Q3 2026 print - vendor-derived, no company release names it; watch RPO line for a product component (date confirmed=False)
- dated pack SIGA|2027-03-31: SIGA: management’s stated international delivery target (“targeting hopefully by March”) - aspiration, not schedule (date confirmed=False)
- dated pack SIGA|2027-02-28: SIGA: filing-watch expiry; re-court the name if no gate has fired by this date (date confirmed=True)
- dated pack SIGA|2028-09-10: SIGA: outer bound of the 19C option period; disputed between benches and immaterial given the exhausted ceiling (date confirmed=False)

What remains unverified

- **When, or whether, a successor U.S. government procurement contract arrives.** This is the entire residual bull case and it is genuinely undateable from available evidence. Both benches independently reached that conclusion. It is also the single thing that would re-rate a ~\$96 million enterprise value violently upward.

- **What Hikma MENA is worth.** No dollar value, no minimum purchase quantity, no disclosed backlog. We know SIGA is the sole manufacturer for the region and that \$13.0 million reached two sovereign buyers in the first half. We know nothing about what follows.
- **Red's specific FDA dating-extension dates and the GAO quotation** were not independently re-fetched by the second bench. The direction of the mechanism is confirmed; the exact dates carry "plausible," not "verified."
- **Whether HHS outlay reporting is materially incomplete before FY2021** — offered as supporting rationale for the reporting-lag finding, but reasoned rather than fetched. The lag conclusion does not depend on it.
- **The Q3 print date**, per above.
- **Live tape.** Neither bench could pull an independent broker snapshot; both accepted \$2.97 from the evidence pack, cross-checked against one secondary source.
- **No tool we own dates a federal stockpile replenishment appropriation.** This is a real coverage gap, reported rather than papered over. Until it is closed, any thesis on this name that depends on timing a stockpile reorder is unfalsifiable, and we will keep killing those.

```

{"price_gates": [], "event_gates": [{"forms": ["8-K"], "why": "8-K naming a
Hikma/MENA or sovereign order with a dollar figure -> re-court at
STARTER via envelope"}, {"forms": ["8-K"], "why": "8-K announcing a
new USG contract vehicle or ceiling modification on 75A50118C00019 -
> re-court"}, {"forms": ["10-Q"], "why": "Q3 remaining performance
obligations materially above $24.9M with a stated product component
-> re-court"}, {"forms": ["SC 13D", "SC 13G"], "why": "ownership
change could introduce an activist or strategic catalyst absent from
the current record"}], "catalyst_dates": [{"date": "2026-11-05",
"what": "Q3 2026 print - vendor-derived, no company release names
it; watch RPO line for a product component", "confirmed": false},
{"date": "2027-03-31", "what": "management's stated international
delivery target ('targeting hopefully by March') - aspiration, not
schedule", "confirmed": false}, {"date": "2027-02-28", "what":
"filing-watch expiry; re-court the name if no gate has fired by this
date", "confirmed": true}, {"date": "2028-09-10", "what": "outer
bound of the 19C option period; disputed between benches and
immaterial given the exhausted ceiling", "confirmed": false}],
"immediate_entry": null}

```